



Luxembourg

Part of the plateau of the Ardennes in western Europe, Luxembourg is one of Europe's richest states. A tax haven and banking center, it is also home to key EU institutions.



GEOGRAPHY

Dense Ardennes forests in the north, with a low, open plateau to the south. Undulating terrain throughout.



CLIMATE

The climate is moist, with warm summers and mild winters. Snow is common only in the Ardennes.



PEOPLE & SOCIETY

Ethnic tensions are rare, despite a large proportion of foreigners (over a third of residents). Integration has been straightforward; most are fellow western Europeans and Catholics, mainly from Italy and Portugal. Low unemployment and high salaries promote stability. Divorce rates are rising and marriage is becoming less common.



INSIGHT: *Luxembourg's capital is home to around 2000 investment funds and over 150 banks*



THE ECONOMY

Traditional industries such as steelmaking have given way to the banking and service sectors. Low taxes and banking secrecy laws attract foreign investors.



FACTFILE

OFFICIAL NAME: Grand Duchy of Luxembourg

DATE OF FORMATION: 1867

CAPITAL: Luxembourg-Ville

POPULATION: 486,200

TOTAL AREA: 998 sq. miles (2586 sq. km)

DENSITY: 487 people per sq. mile

LANGUAGES: Luxembourgish*, German*, French*

RELIGIONS: Roman Catholic 97%, Jewish, Greek Orthodox, and Protestant 3%

ETHNIC MIX: Luxembourger 62%, foreign residents 38%

GOVERNMENT: Parliamentary system

CURRENCY: Euro = 100 cents